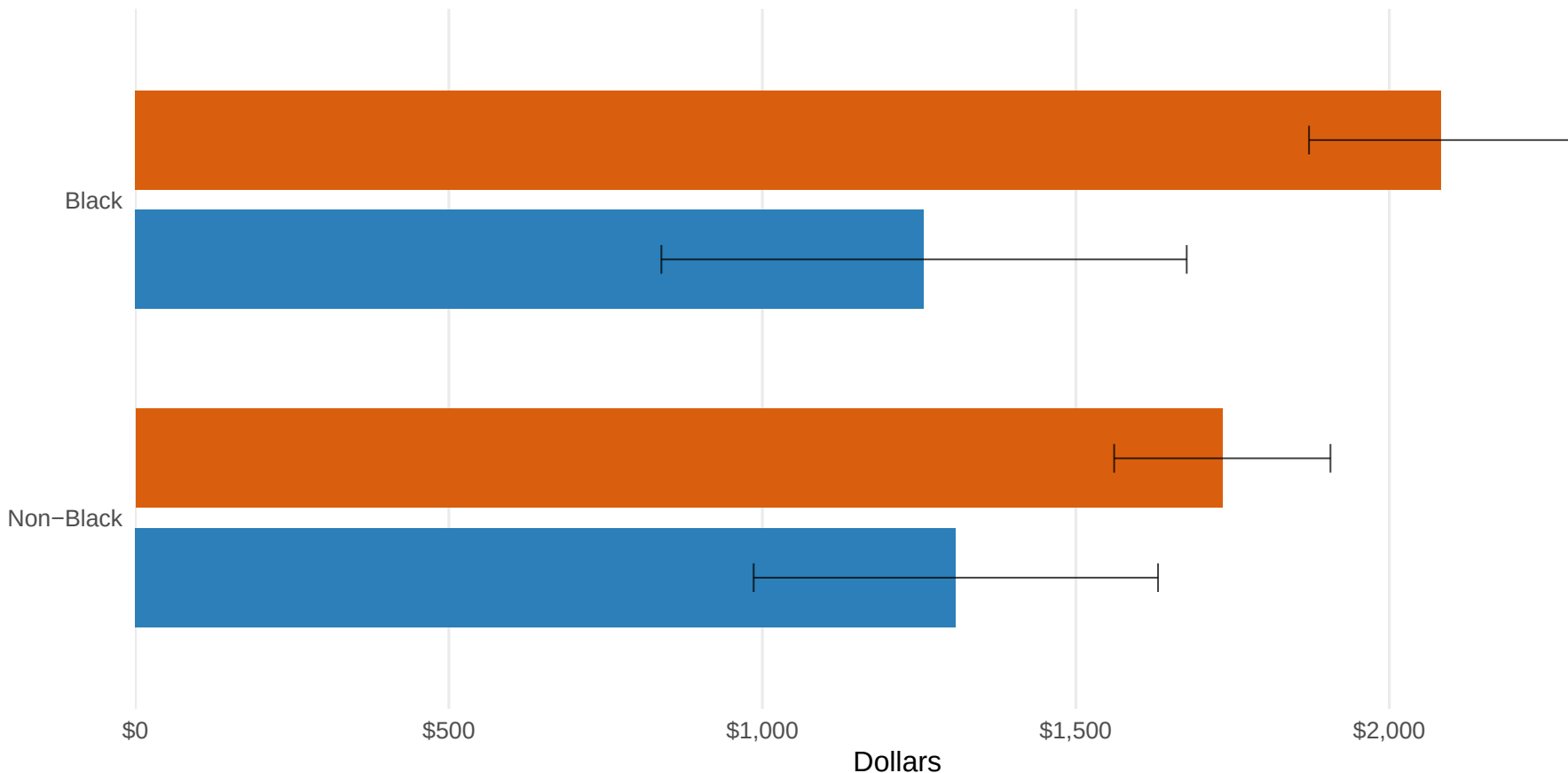


Figure 8: Married Borrowers Already at the Cap Would See the Largest Deduction Gains

Estimated allowable-deduction gain from raising the married cap to \$5,000 among married households already at the current \$2,500 binding constraint.

Interest rate 2.75% 6.8%

Married household



Author's analysis of 2022 Survey of Consumer Finances data. Population: married households at the current \$2,500 binding allowable-deduction constraint only. Tax savings equal allowable deduction times an estimated 2025 federal marginal tax rate. The 2.75% and 6.8% rates are the minimum and maximum undergraduate federal loan rates from 2000 through 2025; because borrower-specific loan terms are not observed, they show a plausible range of impacts. Error bars show 95% confidence intervals.